Signed by
Transition RAC
RADIX DAO LLC

Working Group Framework

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1. Purpose

Working Groups are the DAO's execution bodies. They are established by Governance Proposal to deliver against DAO-approved priorities, coordinate contributors, manage workstreams within defined mandates, and report progress and outcomes to the community. A Working Group exists to translate community decisions into work — it neither makes those decisions nor competes with them.

Working Groups are execution bodies, not governance authorities. All decision-making power remains with Governance Participants and is exercised through the governance system. This distinction is load-bearing for everything that follows in this framework.

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2. Authority Boundaries

Working Groups derive their authority entirely from the Governance Proposal that establishes them and the Charter that establishes them in turn. The boundaries below are not aspirational guidelines — they are binding limits on what a Working Group may do.

Working Groups:

- DO execute within approved mandates
- DO manage approved budgets
- DO coordinate contributors and issue RFPs
- DO publish regular reports on progress and spend

Working Groups:

- DO NOT define or own DAO strategy
- DO NOT override Governance Proposal decisions
- DO NOT bypass governance processes
- DO NOT commit treasury funds outside their approved budget

Any action a Working Group takes outside these limits is invalid and may be reversed by Governance Proposal or by the RAC under its process-guardian authority.

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3. Creation of Working Groups

A Working Group is established by Governance Proposal under the Proposal & Voting Framework. The proposal must contain enough detail for Governance Participants to

assess whether the proposed body fits within the boundaries in §2 and whether its scope and budget are proportionate to the work.

Each Working Group establishment proposal must include:

- Purpose and rationale — why the work needs a standing body rather than a one-off proposal
- Scope and responsibilities — what is and is not within the mandate
- Draft charter — the Working Group's internal rules, deliverables, and accountability standards
- Initial budget request — itemized, with the period covered
- Success metrics — how the Working Group's performance will be assessed
- Proposed term — start date and term length, aligned with the Elections & Role Governance Policy

A Working Group does not exist as a chartered body until its establishment proposal has passed and its Stewards have been elected under the Elections & Role Governance Policy.

Where a governance document assigns a function to a Working Group that is not yet constituted, the function is discharged by the RAC until that Working Group is constituted and operational.

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4. Dissolution

A Working Group may be dissolved by Governance Proposal at any time, with or without cause. Dissolution is appropriate where a Working Group's mandate is complete, where its work is no longer a DAO priority, or where governance has lost confidence in the body.

On dissolution:

- All spending authority ceases on the date specified in the dissolution proposal
- Unspent budget funds return to the treasury
- All records, documentation, and work product are archived publicly in the DAO's repository
- All active contributor engagements are wound down per the Contributor Onboarding and Offboarding Policy §7

The RAC oversees dissolution to ensure these obligations are completed before the body is treated as wound up.

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5. Leadership Structure

Each Working Group is led by elected Stewards. The number of Stewards per Working Group is set within the range defined in DAO Parameters §7 and is fixed in the Working Group's charter at establishment. Stewards are accountable to the DAO for the Working Group's outcomes — they coordinate execution rather than necessarily

performing it themselves, and they remain answerable to Governance Participants throughout their term.

Steward handover obligations on term end, removal, or resignation are defined in the Contributor Onboarding and Offboarding Policy §6.

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6. Elections & Terms

Stewards are elected by Governance Proposal under the Elections & Role Governance Policy. Term length, renewal rules, the consecutive-renewal cap, and removal procedures are defined in that policy and in the DAO Parameters Registry §6B. Vacancies are handled per Elections & Role Governance Policy §11.

A Steward may be removed at any time by Governance Proposal regardless of remaining term.

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7. Budget & Spending

Working Groups operate within budgets approved by Governance Proposal. Within their approved budget, Stewards may issue RFPs, engage contributors, and authorize disbursements consistent with the Contributor Compensation Policy and the Execution & Treasury Actions Policy.

Working Groups may not:

- Exceed their approved budget except within the variance limits in §7.1
- Commit treasury funds beyond the period covered by their approved budget
- Create new financial obligations (multi-period commitments, ongoing retainers extending past the budget period) without separate governance approval

7.1 Budget Variance

Minor operational variance is permitted within these limits:

- Up to **10%** of the approved budget may be exceeded without prior approval, provided it is disclosed in the next monthly report
- Variance between **10% and 20%** requires RAC notification within 10 business days and must be ratified with documented rationale; a new Treasury proposal is only required if the variance is not resolved within the current budget period
- Any variance **exceeding 20%** constitutes a breach of mandate and requires immediate suspension of non-essential spending until a new Treasury proposal is approved

Unspent funds at the end of a budget period must be returned to treasury unless a carry-forward is explicitly approved by Governance Proposal.

7.2 Steward Consultation Temperature Check

Budget authority under this section is otherwise binary: a Steward either acts within their approved budget or brings a full proposal. A Steward who is within mandate but genuinely uncertain whether a particular disbursement or engagement is the right call may consult the community first, without surrendering the authority they already hold.

A **Steward Consultation Temperature Check** ("Consultation TC") is a Temperature Check submitted by a Steward of the Working Group holding the budget, before authorizing a disbursement or engagement that is already within the Working Group's approved scope and budget period.

- **Discretionary.** No Steward is required to run one. A Steward who does not consult remains subject to the normal accountability mechanisms — monthly reporting (§8), the Conflict of Interest Policy, and dispute escalation.
- **Form.** Temperature Check Vote (Proposal & Voting Framework §6.2.6) — YES / NO, no Abstain — at the standard 3% Temperature Check quorum (DAO Parameters §3.2) and ≥50% YES. The Steward publishes the matter to the governance forum with the proposed scope of work and rationale before the vote opens.
- **Not a proposal stage.** A Consultation TC is not Stage 2 of the proposal pipeline (Proposal & Voting Framework §3.2). It is not preceded by a mandatory Draft Discussion and it does **not** elevate to a Governance Proposal if it passes. The RAC publishes the result under Proposal & Voting Framework §6.5.

Outcomes

Result	Effect
Quorum met, ≥50% YES	The Steward may proceed under existing budget authority. Recorded in the next monthly report
Quorum not met	**Inconclusive — not a decline.** The Steward may proceed under existing budget authority, and must record the Consultation TC as inconclusive in the next monthly report
Quorum met, <50% YES	**Declined.** See below

Effect of a decline. Where a Consultation TC is declined, no Steward of that Working Group may authorize the matter under budget authority. The decline attaches to the **matter**, not to the Steward who submitted it — a co-Steward may not authorize what the community has just declined.

The matter may then proceed only as a full **Treasury & Budget** proposal under the Proposal & Voting Framework, after the standard failed-proposal cooldown (DAO Parameters §3.4), running the complete pipeline including its own Stage 2 Temperature Check.

Revised scope. A materially revised scope is a new matter and may be put to a fresh Consultation TC or authorized within budget as normal. The revision and its

relationship to the declined matter must be disclosed in the next monthly report, so that a declined matter cannot be re-labelled to escape the decline.

Renewals. A Steward uncertain whether to renew an established engagement under Contributor Compensation Policy §6.5 may use a Consultation TC for that decision in the same way.

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8. Reporting & Transparency

Each Working Group is publicly accountable for its work and its spend. Reporting is the primary mechanism through which Governance Participants can assess whether the body is delivering against its mandate and whether its budget is being used as intended.

Each Working Group must publish:

- A monthly progress and spend update to the governance forum
- A quarterly retrospective summarising delivery against success metrics, budget consumption, and outstanding commitments
- An end-of-term report at the close of each Steward term, per Contributor Onboarding and Offboarding Policy §6.2

Status of each active workstream should be tracked using a consistent set of values:

- On Track
- At Risk
- Off Track
- Completed

Failure to publish required reports within their cadence is a reportable performance issue under the Elections & Role Governance Policy §13 and may be grounds for removal.

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9. Conflicts of Interest

Stewards and contributors are covered persons under the Conflict of Interest Policy. Standing disclosures, transaction-level disclosures, and recusal obligations apply in full. All disclosures and recusals are publicly recorded.

A Steward may not approve a payment, engagement, or RFP outcome that materially benefits an entity in which they hold a financial or organisational interest without disclosure and recusal as required by the Conflict of Interest Policy.

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10. Relationship to RAC

The RAC ensures Working Groups follow governance rules — it does not manage day-to-day execution. Specifically, the RAC verifies that Working Groups operate within

their mandates and budgets, that conflict-of-interest obligations are honoured, that reports are published on cadence, and that disputes are escalated through the procedures in the Dispute Resolution & Arbitration Policy. The RAC does not direct Working Group work and does not approve operational decisions on a Working Group's behalf.

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11. Sub-Groups & Workstreams

Working Groups may create sub-groups or initiate temporary workstreams within their existing mandate and budget. Sub-groups and workstreams do not require separate governance approval, but they must remain within the parent Working Group's mandate, must be transparently documented in the Working Group's reports, and must not be used to create commitments that extend past the parent Working Group's term or budget period.

A workstream that requires its own budget, distinct mandate, or accountability structure is no longer a sub-group — it is a new Working Group and must be established by Governance Proposal under §3.

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12. Relationship to Other Policies

This framework operates alongside:

- **Elections & Role Governance Policy** — Steward election, renewal, removal, and vacancy handling
- **Contributor Compensation Policy** — Rates, payment mechanics, RFP rules, and disclosure obligations for compensated work
- **Contributor Onboarding and Offboarding** — Steward handover and contributor lifecycle obligations
- **Execution & Treasury Actions Policy** — Budget execution and treasury controls
- **Conflict of Interest Policy** — Disclosure and recusal obligations for Stewards and contributors
- **RAC Mandate** — RAC oversight authority and limits
- **Dispute Resolution & Arbitration Policy** — Escalation path for intra-WG and inter-WG disputes

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13. Amendments

*Amendment procedures and classification requirements are defined in the **Governance Maintenance & Upgrade Framework**.*